

Strategic Vision

Our Business

To remain an innovative natural resource based mining and processing company in Kenya with a diversified product range supplying cement, building products and primary mineral and chemical raw materials to all sectors of the economy.

Our Corporate Goal

To achieve sustainable growth through capacity expansion of existing products lines, to develop new markets abroad, to improve manufacturing technology and gain cost advantages over competitors, and to introduce new high value-added products under the same roof with low initial investment.

Our Market Share Targets

To achieve a 10% share of the growing cement market in Kenya, and to maintain a leadership position with 60% or more market share in all market sectors of industrial mineral and chemical products.

Our Management Objectives

To cultivate an entrepreneurial management culture at all levels of management, to keep manufacturing and operating costs lower than competitors, to innovate and improvise and to create value in the organization through personal initiative.

Our Customer and Supplier Relationships

To earn customer loyalty through superior service and high product quality, and to commit suppliers to a share in the Company's growth and profitability.

Our Employee and Social Welfare

To share equitably with the employees and local communities the benefits derived from a well run profitable organization.

Our Shareholder Objectives

To provide shareholders with superior return on their investment through consistent dividends and high capital growth as reflected in the share price.

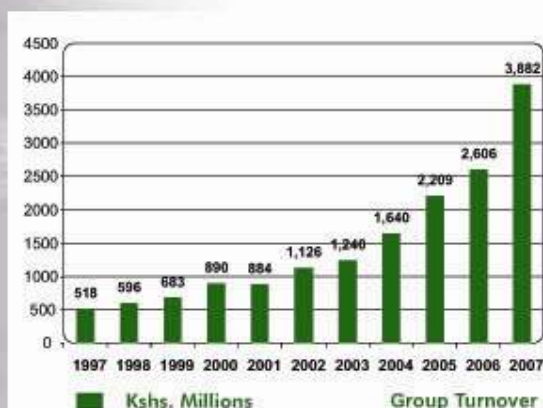
Chairman's Statement

It is my pleasure to present the Company's Annual Report for the year ended 31st December 2007. The year 2007 marked the completion of 10 years of listing of the Company's shares on the Nairobi Stock Exchange. Our strategic vision was to build a profitable company on the foundations of transparency and strong corporate governance, leadership in cost and quality in our products, capacity investment based on sound financial policies, and a professional corporate culture.

During our first decade since listing, depicted in red below our turnover grew from Kshs 518 million to Kshs 3.9 billion, an increase of 750%, whilst net profit grew from Kshs 35 million to Kshs 422 million, an increase of 1200%. During the same period, earnings per share grew from Kshs 0.57 to Kshs 4.26. Market capitalisation rose from Kshs 724 million to Kshs 8.88 billion. In addition to dividends paid over the 10 years, capital appreciation, for those who invested at the time of IPO in 1997, has been in excess of 700%. I am proud to say that the management team at ARM has delivered on its strategic vision in a large measure. Going forward into the next decade, the vision remains the same, to deliver superior returns to our shareholders by giving equally superior value to our customers, to our employees, and to the communities we operate in.

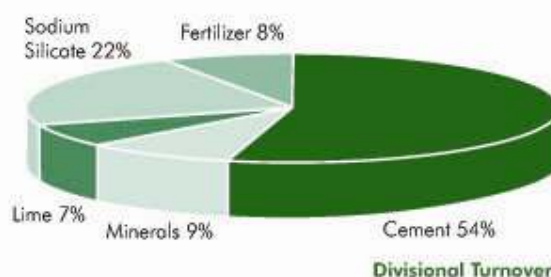
2007 Annual Results

In 2007 turnover increased by 49% to Kshs. 3.9 billion as compared to the previous financial year. The increase was generated mainly from the cement and fertilizer divisions, due to strong demand, branding and greater market acceptance of the Company's products.



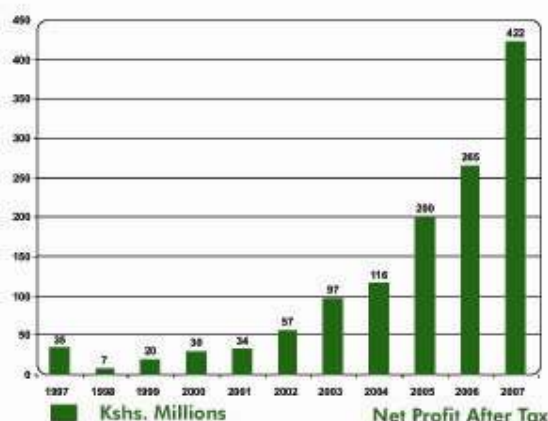
Group Turnover

The benefit of the new cement clinker plant at Kaloleni, installed in 2006, has resulted in the cement business generating 54% of total business. Similarly, our fertilizer business has grown to 8%.

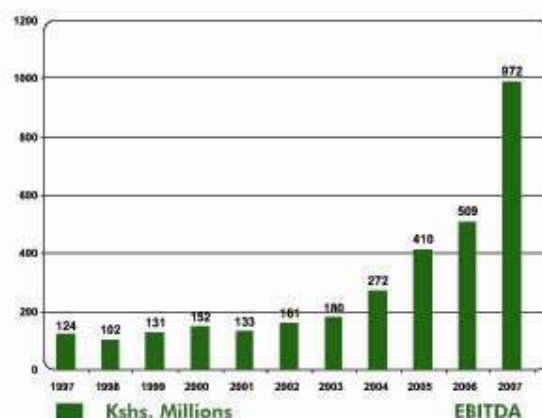


Over the last five years the Company's revenue grew at an annual compounded rate of 28%, whilst profit after tax has grown at a compounded rate of 49% per year. In the same period the operating margin has widened from 10% to 20%, demonstrating improved internal efficiencies and lower unit cost of production.

Profit after tax and minority interest grew by 64% from Kshs. 257 million in 2006 to Kshs. 422 million in 2007.



Earnings before interest, tax, depreciation and amortization (EBITDA) as a percentage of turnover grew from 20% in 2006 to 25% in 2007.

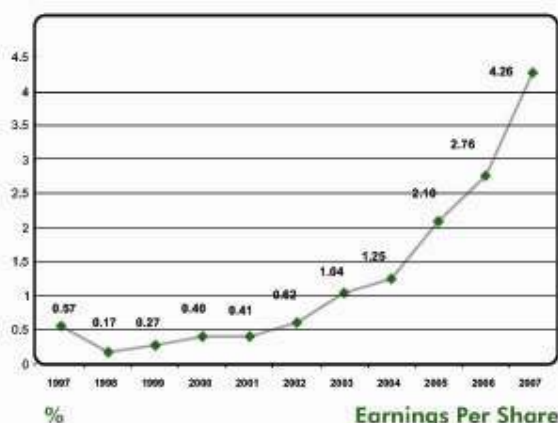


Chairman's Statement

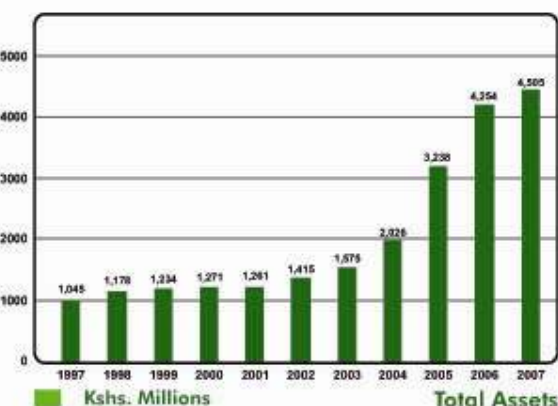


Increased profitability is attributable to improved operating efficiencies, higher capacity utilization and cost control measures implemented by the Company. This resulted in the operating margin improving to 20% this year as compared to 16% last year.

Consequently, earnings per share also increased by 54% from Kshs. 2.76 in 2006 to Kshs. 4.26 in 2007.



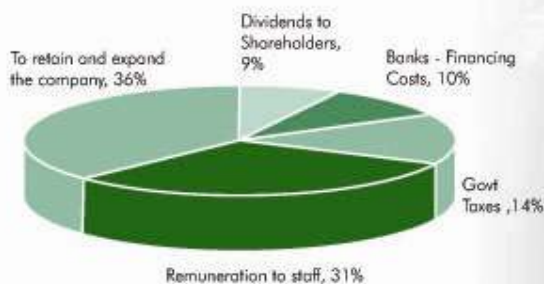
During the year, the total assets of the group grew from Kshs. 4.25 billion to Kshs. 4.51 billion as a result of normal capital expenditure.



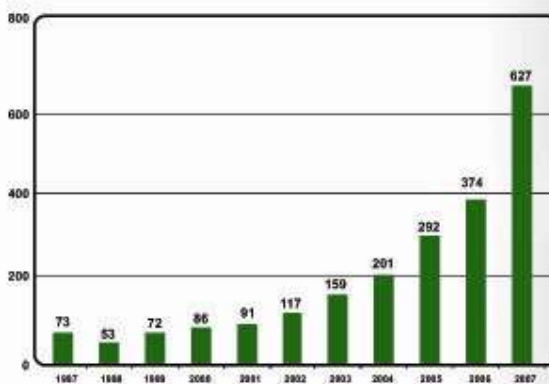
Group borrowings at the end of 2007 were Kshs. 1.7 billion. The debt/equity ratio improved to 1:1, and long term debt to capital employed improved to 0.64:1. The net worth of the Company increased from Kshs. 1.32 billion in 2006 to Kshs. 1.7 billion in 2007.

The Company continues to be an important creator of wealth in the Kenyan economy. It provides direct and indirect employment to a large number of people who are involved in its various operations at factories and distribution networks in Kenya and various other countries in Africa. More than 50 industries use the Company's products as primary raw materials in the construction, manufacturing and agriculture sectors.

Net wealth created in 2007 was Kshs 1.4 billion calculated as the difference between the turnover and the purchase of raw materials and services. 31% (Kshs 427 million) of the value added was distributed amongst the staff, 14% (Kshs. 199 million) to the Government in the form of corporate taxation, 10% (Kshs. 144 million) to the providers of finance, 9% (Kshs. 124 million) to shareholders, and the balance of 36% (Kshs. 504 million) reinvested to facilitate future expansion and growth.



Distribution Of Wealth Created



■ Kshs. Millions

Cash Generated (profit After Tax + Depreciation)

Total cash generated (profit after tax and depreciation) grew by 68% from Kshs. 374 million in 2006 to Kshs. 627 million in 2007.

This is an outstanding achievement, and, on behalf of the Board of Directors, I congratulate and record my appreciation for the contribution made by the Company's management team, and the entire staff, in the growth of the Company and the creation of increased shareholder wealth.

Chairman's Statement

Subsidiary Companies

At **ARM (Tanzania) Ltd**, our project to double lime capacity is likely to be commissioned in 2008. Turnover of the company declined by 20% during 2007, as a result of maintenance shutdowns during the year. With the installation of a second kiln, capacity will double and such shortfalls in sales will be avoided in future.

At the close of the 2007 financial year the Company held 72% of **ARM (Tanzania) Ltd**. However, it has since become 100% owned subsidiary by purchasing the 28% equity held by Cement Distributors Ltd.

The turnover in our 100% owned South African sodium silicate subsidiary, **ARMSA (Pty) Limited**, grew by 34% from Kshs. 214 million in 2006 to Kshs. 287 million in 2007.

Mavuno Fertilizers Limited, incorporated as a 100% owned subsidiary of the Company to handle the fertilizer division, is still dormant, and will take over the operations of the fertilizer division at a later date when separate funding lines can be established. Sales in this division, at Ksh 316 million in 2007, were 105% higher than last year. The various blends of Mavuno fertilizer are now being used successfully on maize, wheat, vegetables, tea, coffee, sugar and tobacco, by both small scale farmers as well as corporate institutional customers.

The Company continues to collaborate with a number of research institutions, universities and district agriculture offices throughout the country with a view to strengthening its product range of balanced crop and soil specific fertilizers. This is in keeping with our corporate mission of providing locally manufactured cost effective fertilizers that increase crop yields and promote better farming and land usage. The Company is focusing particularly on small scale and subsistence farmers where significant increase in crop yields has been achieved by using Mavuno fertilizers.

As part of the Company's ongoing regional diversification, two new subsidiaries, **ARM (Zambia) Ltd** and **ARM (Botswana) Ltd**, have been established. Preliminary work and the study of opportunities are continuing in both countries.

Environment Management & Quality Systems

The Company's cement and lime manufacturing plant at Kaloleni is a state of the art plant in achieving environmental emissions below 20 mg/Nm³. The plant is certified for both ISO 9001:2000 for quality systems, and ISO 14001: 2004 for environment management systems. The sodium silicate division is also ISO 9001:2000 certified for quality systems.

The Company conducts regular staff training programs to continuously improve the quality of management systems and to achieve international quality benchmarks. We have monitoring systems for responsible use of fuels and raw materials, employee health and safety, emissions monitoring and reporting, as well as a monitoring system for local impacts on land and communities.

The most common approach is the reforestation and regeneration of exploited quarry sites with local flora. In certain sites, and in response to local community requests, depleted quarry pits have been converted into water reservoirs.

The Company's policy makes it compulsory to have all necessary mining licenses conform to local legislation, to operate in a way which minimizes environmental impacts and disturbance to local communities.

Corporate Social Responsibility

At ARM, Corporate Social Responsibility and sustainable development has risen in prominence. We embedded these into our corporate strategy not only out of sense of responsibility but primarily because of our belief that it benefits both the society in which we operate and all our stakeholders.

Although we are proud of our track record, we appreciate that much more needs to be done and significant challenges lie ahead. We feel confident of success because of our strengths and our commitment to this cause.

ARM'S CSR objectives are guided by the following:

- Education and training of people as a long term investment.
- Commitment to our staff for fair wages, benefits and involvement in development.
- Communication with our staff on topics such as health, safety, human rights, labour rights, diversity and equal opportunities.
- Community involvement programmers - stakeholders committees - providing solutions to challenges at local level.

Employee Share Ownership Scheme

In 2007, 6,055,000 share option certificates were issued through the ESOP scheme to eligible staff of the Company, in recognition of their contribution to the Company's growth to date. These options are exercisable not earlier than March 2009. The Company has also issued equivalent shares to the ESOP Trust during the year.

Recruiting and retaining human capital is the key to future growth, and therefore we intend to continue the ESOP scheme with annual allocation of options to eligible members of staff.

Credit Rating 2007

I am pleased to report that Global Credit Rating, South Africa, has re-confirmed its rating of ARM at A1 for Short Term, indicating a high certainty of timely payments, excellent liquidity factors and minor risk factors. The rating of A for Long Term indicates high credit quality, good protection, with small risk factors that are variable due to economic cycles.

	2002	2003	2004	2005	2006	2007
Short Term	A2	A-1	A1	A1	A1	A1
Long Term	A-	A	A	A	A	A

Chairman's Statement

Outlook for 2008

Demand for the Company's products in Kenya and in the region continues to be strong. In 2008, we have embarked upon an expansion project to double clinker production capacity at a capital outlay of Kshs 1 billion. The Company expects to commission the new capacity in the second half of 2009. The Board of Directors of the Company anticipates that Kenya will remain peaceful and politically stable, and will continue to grow economically in the years ahead.

Dividend

The Board of Directors recommends a dividend payment of Kshs. 1.25 per share for the year 2007. Subject to approval by the shareholders, the dividend will be paid in July 2008 to members on the register at the close of business on 28th May 2008. For this purpose, the register of members will remain closed between 29th May and 30th May 2008.

AGM Special Resolution

The Company proposes to separate its businesses into two wholly owned subsidiaries, "ARM Cement Limited" for Cement, Lime and related products, and "ARM Minerals and Chemicals Limited" for Minerals, Sodium Silicate and Speciality Building products, with the objective of creating two strong and focused companies. This will protect each subsidiary company from any volatility in the business of the others. It will also facilitate a clearer understanding of the Company's business by analysts and investors, and help unlock and create greater value for existing shareholders. It will also enhance the possibility of attracting new investment from strategic investors who have industry-specific interests. The shareholders of Athi River Mining Limited will continue to enjoy the same potential financial benefits as previously, because the newly created subsidiaries will be 100% owned by the parent Company. This is depicted by way of the chart below:



Brian Rogers
Chairman

Report of the Directors

For The Year Ended 31 December 2007

The Directors present their report together with the group audited financial statements for the year ended 31st December 2007.

ACTIVITIES

The principal activities of the group are the manufacture and sale of cement, mining and processing of industrial minerals and chemicals and trading in other building products.

RESULTS

	2007 Sh'000
Profit before taxation	620,640
Taxation expense	(198,981)
Profit after tax	421,659
Loss attributable to minority interest	680
Profit for the year attributable to the equity holders of the parent	422,339

DIVIDENDS

The directors propose the payment of a first and final dividend of Sh 1.25 (2006 - Sh 1) per share totalling Sh 123,818,750 in respect of the year ended 31st December 2007 (2006 - Sh 93,000,000).

DIRECTORS

The present directors are shown on page 4

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Kenya Companies Act.

BY ORDER OF THE BOARD

R.R. Vora

Secretary

Nairobi

31st March 2008

Statement of Directors' Responsibilities

The Kenya Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the group and the company keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenya Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of the operating results of the group. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

Brian Rogers

Chairman

Pradeep H Paunrana

Managing Director

Date: 31st March 2008

Independent Auditor's Report

to the Members of Athi River Mining Limited

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
"Kirungii"
Ring Road, Westlands
P.O. Box 40092 - GPO 00100
Nairobi, Kenya

Tel: + (254 - 20) 444 1344/05-12
Fax: + (254 - 20) 444 8966
Dropping Zone No. 92
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Report of the auditors

We have audited the financial statements of Athi River Mining Limited set out on pages 12 to 44 which comprise the consolidated and company balance sheets as at 31 December 2007, the consolidated income statement, consolidated and company statement of changes in equity and consolidated cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

The company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

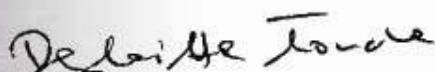
An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- proper books of account have been kept by the company and the company's balance sheet is in agreement therewith;
- the financial statements give a true and fair view of the state of affairs of the company and the group at 31st December 2007 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.



31st March, 2008

Audit . Tax . Consulting . Financial Advisory.

Partners: D.M. Ndonye F. Aloo H. Gadhoke* D.C. Hodges* J.M. Kiarie M.M. Kisuu
J Nyang'aya S.O. Onyango J. W. Wangai * British

A member firm of
Deloitte Touche Tohmatsu

Consolidated Income Statement

For The Year Ended 31 December 2007

	Note	2007 Sh'000	2006 Sh'000
TURNOVER		3,881,736	2,605,032
COST OF SALES		(2,482,382)	(1,677,879)
GROSS PROFIT		1,399,354	927,153
OTHER OPERATING INCOME		1,227	869
DISTRIBUTION COSTS		(242,642)	(240,211)
ADMINISTRATIVE EXPENSES		(389,395)	(265,895)
OTHER OPERATING EXPENSES		(3,557)	(4,780)
OPERATING PROFIT	5	764,987	417,136
NET FINANCE COSTS	7	(144,347)	(29,268)
PROFIT BEFORE TAXATION		620,640	387,868
TAXATION CHARGE	8(a)	(198,981)	(123,311)
PROFIT FOR THE YEAR		421,659	264,557
ATTRIBUTABLE TO:			
EQUITY HOLDERS OF THE PARENT		422,339	257,062
(LOSS)/ PROFIT ATTRIBUTABLE TO MINORITY INTEREST		(680)	7495
PROFIT FOR THE YEAR		421,659	264,557
EARNINGS PER SHARE Basic and diluted	10(a)	Sh 4.26	Sh 2.76
DIVIDENDS PER SHARE - Proposed	10(b)	Sh 1.25	Sh 1.00

Company Balance Sheet

As at 31 December 2007

	Note	2007 Sh'000	2006 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	11(b)	3,073,816	2,971,786
Operating lease prepayments	12	2,146	2,213
Intangible assets	13	6,549	-
Investment in subsidiaries	14	192,490	143,212
		3,275,001	3,117,211
Current assets			
Inventories	15	426,947	278,811
Trade and other receivables	16	291,307	521,984
Employee Share Option Plan	17	90,825	-
Due from related parties	24(b)	150,868	83,113
Tax recoverable		150	150
Cash and bank balances		96,772	99,189
		1,056,869	983,247
Total assets		4,331,870	4,100,458
EQUITY AND LIABILITIES			
Capital & Reserves			
Share capital	18	495,275	465,000
Share premium		302,027	241,477
Revaluation surplus		37,055	38,787
Retained earnings		964,940	632,721
		1,799,297	1,377,985
Non current liabilities			
Borrowings	19(b)	1,024,955	1,297,442
Deferred income tax	20	501,923	315,503
Finance leases	21(b)	26,059	51,782
		1,552,937	1,664,727
Current liabilities			
Borrowings	19(b)	583,195	479,876
Finance leases	21(b)	19,750	24,430
Trade and other payables	22	373,003	512,944
Due to related parties	24(e)	342	38,439
Unclaimed dividends		3,346	2,057
		979,636	1,057,746
Total equity and liabilities		4,331,870	4,100,458

The financial statements on pages 12 to 44 were approved by the board of directors on 31st March 2008 and were signed on its behalf by:

Brian Rogers
Chairman

Pradeep H Paurana
Managing Director

Statement of Changes in Equity

For The Year Ended 31 December 2007

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Retained earnings Sh'000	Total Sh'000
At 1 January 2006	465,000	241,477	40,519	439,854	1,186,850
Transfer of excess depreciation	-	-	(2,474)	2,474	-
Deferred tax on excess depreciation	-	-	742	(742)	-
Profit for the year	-	-	-	260,885	260,885
Dividend declared - 2005	-	-	-	(69,750)	(69,750)
At 31 December 2006	465,000	241,477	38,787	632,721	1,377,985
At 1 January 2007	465,000	241,477	38,787	632,721	1,377,985
Issue of shares to ESOP	30,275	60,550	-	-	90,825
Transfer of excess depreciation	-	-	(2,474)	2,474	-
Deferred tax on excess depreciation	-	-	742	(742)	-
Profit for the year	-	-	-	423,487	423,487
Dividend declared - 2006	-	-	-	(93,000)	(93,000)
At 31 December 2007	495,275	302,027	37,055	964,940	1,799,297

The revaluation surplus relates to surpluses arising from the revaluation of property, plant and equipment and is not distributable.

Consolidated Cash Flow Statement

For The Year Ended 31 December 2007

	Note	2007 Sh'000	2006 Sh'000
Operating activities			
Cash generated from operations	23(a)	938,831	450,722
Interest paid		(171,256)	(172,371)
Interest received		299	-
Corporation tax paid		-	(27,770)
Net cash generated from operating activities		767,874	250,581
Investing activities			
Additions to property, plant and equipment	23(b)	(342,399)	(915,850)
Net cash used in investing activities		(342,399)	(915,850)
Financing activities			
Finance lease payments		(31,440)	(17,887)
Finance lease received		2,368	-
Increase in share capital		(90,825)	-
Borrowings received	23(c)	-	403,289
Repayment of amounts borrowed	23(c)	(58,168)	(40,668)
Dividends paid		(91,711)	(68,246)
Net cash (used in)/generated from financing activities		(269,776)	276,488
Increase/(decrease) in cash and cash equivalents		155,699	(388,781)
Cash and cash equivalents 1 January		(147,163)	241,618
Cash and cash equivalents 31 December	23(d)	8,536	(147,163)

Notes to the Financial Statements

For The Year Ended 31 December 2007

1 Accounting policies

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted are as follows:

Adoption of new and revised International Financial Reporting Standards (IFRS)

In 2007, the following new and revised standards and interpretations became effective for the first time and have been adopted by the group where relevant to its operations.

- IAS 1 Amendment, Capital Disclosures. The amendment to IAS 1 introduces disclosures about the level of the Company's capital and how it manages capital.
- IFRS 7, Financial Instruments: Disclosures. IFRS 7 introduces new disclosures relating to financial instruments. It requires the disclosures of qualitative and quantitative information about exposure to risks arising from financial instruments, including specified minimum disclosures about credit risk, liquidity risk and market risk, including sensitivity analysis to market risk. The standard does not have any impact on the classification or measurement of the Company's financial instruments.

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective:

- IFRS 8 on Operating Segments
- IFRIC 8 Scope of IFRS 2
- IFRIC 9 Reassessment of Embedded Derivatives
- IFRIC 10 Interim Financial Reporting and Impairment
- IFRIC 11 on IFRS 2: Group and Treasury Share Transactions
- IFRIC 12 on Service Concession Arrangements
- IFRIC 13 on Customer Loyalty Programmes
- IFRIC 14 on IAS 19 - The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction.

The adoption of these standards and interpretations, when effective, will have no material impact on the financial statements of the group.

Basis of accounting

The company prepares its financial statements under the historical cost convention, modified to include the revaluation of certain assets.

Basis of consolidation

Subsidiary undertakings, being those companies in which the group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary companies have been eliminated.

The consolidated financial statements incorporate the financial statements of the company and its subsidiaries, ARM (Tanzania) Limited, Mavuno Fertilizer Limited and ARMSA (Pty) Limited, all made up to 31 December. Mavuno Fertilizer Limited did not operate in the year. Its intended operations were undertaken by Athi River Mining Limited.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

1 Accounting policies (continued)

Revenue recognition

Turnover is recognised upon delivery of goods and acceptance by customers and represents sales net of sales returns and Value Added Tax.

Taxation

The taxation charge represents the sum of the current tax charge and the deferred taxation charge for the year.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

Property, plant and equipment

Property, plant and equipment are stated at cost or valuation less depreciation and any impairment losses. Increases in the carrying amounts of property, plant and equipment resulting from revaluation are credited to the revaluation surplus.

Basis of valuation:

Freehold land and buildings	-	Open market value
Other assets	-	Depreciated replacement cost

Depreciation

No depreciation is provided on freehold land.

Depreciation is calculated to write off the cost or valuation of other items of property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates in use are:

Buildings	2.5%
Heavy commercial vehicles and quarrying equipment	10%
Plant, machinery and equipment	5% to 15%
Motor vehicles	25%
Furniture and fittings	12.5%
Computer hardware	25%

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus to the revenue reserve.

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

Intangible assets-computer software costs

Costs incurred on computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 4 years.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

1 Accounting policies (continued)

Investment in subsidiaries

The investments in subsidiaries are stated at their acquisition cost less any accumulated impairment losses in the company's books. These are all eliminated on consolidation.

Inventories

Finished goods inventories are stated at the lower of cost and net realisable value. Cost comprises direct production costs, rents, royalties, labour and relevant transport costs. Work in progress comprises raw materials, direct labour, other direct costs and related production overheads.

Raw materials and other inventories are stated at the lower of purchase cost and net realisable value.

Leases

Leases are classified as finance leases whenever the terms of the lease transfers substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Assets held under finance leases are capitalised at their fair value on the inception of the lease and depreciated over their estimated useful lives. The finance charges are allocated over the period of the lease so as to achieve a constant rate of interest over the remaining balance of the liability.

Rental payments in respect of operating leases are charged to the income statement in the year to which they relate.

Operating lease prepayments

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Cash and cash equivalents

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.

Foreign currencies

Foreign currency transactions are recorded on initial recognition in the reporting currency, by applying the exchange rate prevailing at the date of the transactions.

Monetary assets and monetary liabilities expressed in foreign currencies are translated into the reporting currency at the rates of exchange ruling at the balance sheet date.

Non monetary assets and non monetary liabilities which are carried in terms of historical cost denominated in foreign currencies are restated using the rate prevailing at the date of the transaction.

Non monetary assets and non monetary liabilities which are carried at fair values are reported using the exchange rates that existed when the fair values were determined.

Exchange differences arising on settlement of monetary items or on reporting the group's monetary items at rates different from those at which they were initially recorded in the year, or reported on the previous financial statements, are recognized on the income statement for the year.

Gains or losses on translation of investments in foreign subsidiaries are dealt with in the currency translation reserve.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

1 Accounting policies (continued)

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

All other borrowing costs are recognised in the income statement in the period in which they are incurred.

Retirement benefit obligations

The group contributes to the statutory National Social Security Fund. The group's obligations under the schemes are determined by local statute and are currently limited to Sh 200 per employee in Kenya and 10% of the gross pay of each employee per month in Tanzania. The group's contributions are charged to the income statement in the year to which they relate. ARMSA does not contribute to any defined benefits scheme for its employees.

Employee benefits

Employees' entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued on the balance sheet date.

Financial instruments

Financial assets

Financial assets are recognised initially at cost using settlement date accounting. Receivables originated by the group and held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value. Gains and losses are recognised in the income statement except for available for sale financial assets where gains and losses are recognised in equity. All financial assets are subject to review for impairment at the year end.

Financial liabilities

Financial liabilities are recognised initially at cost, and subsequently measured at amortised cost.

Impairment

At each balance sheet date, the group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Foreign operations

The subsidiary companies operating in Tanzania and South Africa are classified as foreign entities since their operations are carried out with significant level of autonomy. In translating the financial statements of the subsidiary companies:

- (i) The assets and liabilities, both monetary and non monetary are translated at the closing rate;
- (ii) Transactions of the subsidiaries for the year are translated at the average exchange rates ruling in the year; and
- (iii) All the resulting exchange differences are transferred to the translation reserve in the equity until the disposal of the net investment.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

1 **Accounting policies** (continued)

Segmental reporting

Segment result is segment revenue less segment expenses.

Segment revenue is the revenue that is directly attributable to a segment plus the relevant portion of the group's revenue that can be allocated to the segment on a reasonable basis. Segment revenue excludes finance income.

Segment expenses are expenses resulting from the operating activities of a segment plus the relevant portion of an expense that can be allocated to the segment on a reasonable basis. Segment expenses exclude finance costs and income taxes.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis. Segment assets and segment liabilities exclude income tax assets and income tax liabilities respectively.

Capital expenditure represents the total cost incurred during the year to acquire segment assets (property, plant and equipment) that are expected to be used during more than one year.

Contingent liabilities

Contingent liabilities arise if there is a possible obligation; or a present obligation that may, but probably will not, require an outflow of economic resources; or there is a present obligation, but there is no reliable method to estimate the monetary value of the obligation

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 **Critical judgments in applying the entity's accounting policies**

In the process of applying the group's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods.

Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the balance sheet date that has a significant risk of causing material adjustment to the carrying amounts of assets and liabilities within the next financial year:

Equipment and intangible assets -The company reviews the estimated useful lives of equipment and intangible assets at the end of each reporting period.

Impairment

At each balance sheet date, the company reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

3 Capital risk management

The group manages its capital to ensure that entities in the group will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the group consists of debt, which includes the borrowings disclosed in note 19, cash and cash equivalents and equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings as disclosed on pages 15 to 16.

Consistent with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

	GROUP		COMPANY	
	2007 Sh'000	2006 Sh'000	2007 Sh'000	2006 Sh'000
Share capital	495,275	465,000	495,275	465,000
Share premium	302,027	241,477	302,027	241,477
Retained earnings	941,245	610,174	964,940	632,721
Translation reserve	(40,836)	(30,662)	-	-
Equity	1,697,711	1,285,989	1,762,242	1,339,198
Total borrowings	1,703,994	1,920,341	1,608,150	1,777,318
Less: cash and cash equivalents	(124,356)	(111,377)	(96,772)	(99,189)
Net debt	1,579,638	1,808,964	1,511,378	1,678,129
Total Capital	3,277,349	3,094,953	3,273,620	3,017,327
Gearing	48%	58%	46%	56%

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

4 Segment reporting

(a) Primary segment information - Business segments

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

The group is currently organised into two divisions. These divisions are the basis on which the group reports its primary segment information. The two divisions are:

- Cement and lime.
- Other products.

The table below shows the group's revenue, expenses, segment assets, segment liabilities, capital expenditure and depreciation analysed by primary segments.

	Cement and Lime		Other products		Total	
	2007 Sh'000	2006 Sh'000	2007 Sh'000	2006 Sh'000	2007 Sh'000	2006 Sh'000
Sales and other income	2,359,259	1,077,835	1,523,704	1,528,066	3,882,963	2,605,901
Cost of sales and other expenditure	1,929,258	865,935	1,333,065	1,352,098	3,262,323	2,218,033
Profit before taxation	430,001	211,900	190,639	175,968	620,640	387,868
Assets	2,589,801	2,697,691	1,914,876	1,556,637	4,504,677	4,254,328
Liabilities	1,940,016	2,049,290	792,677	830,546	2,732,693	2,879,836
Depreciation and amortisation	126,087	49,288	63,329	60,109	189,416	109,397
Capital expenditure	55,385	901,981	167,793	241,915	223,178	1,143,896

(b) Secondary segment information - Geographical segments

The group's sales and other income are derived from sales in the following geographical markets:

	2007 Sh'000	2006 Sh'000
Kenya	3,349,640	2,045,527
South Africa	287,448	213,627
Tanzania	245,875	346,747
	3,882,963	2,605,901

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

		2007 Sh'000	2006 Sh'000
5	Operating profit		
	The operating profit is arrived at after charging:		
	Depreciation property, plant and equipment	205,725	109,119
	Amortisation of operating lease prepayments	276	278
	Amortisation of intangible assets	1,910	-
	Operating lease rentals - property	4,577	3,013
	Directors' emoluments: - Fees	3,329	2,390
	- Other emoluments	53,924	50,809
	Staff costs (note 6)	373,332	236,084
	Auditors' remuneration - company	1,663	1,500
	- subsidiaries	1,070	438
		<u>373,332</u>	<u>236,084</u>
6	Staff costs		
	Wages and salaries	368,128	228,036
	Social security cost (NSSF)	3,978	2,232
	Termination benefits	607	2,232
	Leave pay	281	2,389
	Other staff costs	338	1,195
		<u>373,332</u>	<u>236,084</u>
	Executive directors' emoluments	53,924	50,809
		<u>427,256</u>	<u>286,893</u>
7	Net finance costs		
	Interest payable on:		
	- Loans	61,486	83,515
	- Bank overdrafts	35,424	24,461
	- Corporate bond	68,990	67,469
	- Finance leases	5,356	7,954
		<u>171,256</u>	<u>183,399</u>
	Total borrowing costs	171,256	183,399
	Less: Amounts included in the cost of qualifying assets	-	(162,782)
		<u>171,256</u>	<u>20,617</u>
	Net foreign exchange (gains)/losses	(26,610)	8,651
	Interest receivable	(299)	-
		<u>144,347</u>	<u>29,268</u>

The net foreign exchange (gains)/losses relates to the net of realised and unrealised exchange gains and losses on foreign currency denominated transactions and balances.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

		2007 Sh'000	2006 Sh'000
8	Taxation		
	(a) Taxation charge		
	Current taxation based on adjusted profit at 30%	-	-
	Prior year over provision	-	(5,289)
	Total current taxation	-	(5,289)
	Deferred taxation charge	-	-
	current year	198,981	128,128
	prior year	-	472
	Total deferred tax charge (note 20)	198,981	128,600
		198,981	123,311
	(b) Reconciliation of taxation based on accounting profit to taxation charge		
	Accounting profit before taxation	620,640	387,868
	Tax at the applicable rate of 30%	186,192	116,361
	Tax effect of expenses not deductible for tax purposes	12,789	11,767
	Prior year under provision - deferred tax	-	472
	Prior year over provision - corporate tax	-	(5,289)
		198,981	123,311
	(c) Current tax recoverable / (payable)		
	At the beginning of the year	150	(27,620)
	Tax charge for the year	-	-
	Taxation paid	-	27,770
	As at 31 December	150	150

No tax is payable on the results for the year as the company has accumulated tax losses (note 20).

9 Profit attributable to shareholders

The profit attributable to shareholders dealt with in the company financial statements is Sh 423,487,000 (2006 - Sh 260,885,000).

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

10 (a) Earnings per share

Basic earnings per share has been calculated by dividing the profit for the year attributable to equity holders of the parent company by the number of ordinary shares in issue at the balance sheet date. The basic and diluted earnings per share are the same as there are no dilutive effects on earnings.

	2007	2008
Profit attributable to ordinary shareholders (Sh'000)	422,339	257,062
Weighted average number of ordinary shares in issue	99,055,000	93,000,000
Basic and diluted earnings per ordinary share (Sh)	4.26	2.76

(b) Dividends per share

The directors propose the payment of a first and final dividend of Sh 1.25 (2006 - Sh 1) per share totalling Sh 123,818,750 in respect of the year ended 31 December 2007 (2006 - Sh 93,000,000).

This dividend is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

The dividend is payable subject to, where applicable, deduction of withholding tax as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

11 (a) Property, plant and equipment - Group

	Freehold land and buildings Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware, plant, machinery, motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
COST OR VALUATION						
At 1 January 2006	84,009	188,496	223,636	1,261,442	1,008,309	2,765,892
Additions	4,997	27	47,100	20,763	1,071,008	1,143,895
Transfers	-	-	-	2,012,223	(2,012,223)	-
Disposals	-	-	-	(6,001)	-	(6,001)
Translation loss	-	(548)	(484)	(17,198)	(4,270)	(22,500)
At 1 January 2007	89,006	187,975	270,252	3,271,229	62,824	3,881,286
Additions	26,780	-	54	19,250	298,683	344,767
Transfers	-	-	944	8,278	(17,681)	(8,459)
Translation loss	1,439	(1,292)	36,046	(50,121)	(1,767)	(15,695)
At 31 December 2007	117,225	186,683	307,296	3,248,636	342,059	4,201,899
Comprising						
At cost	66,292	29,291	289,288	3,118,581	342,059	3,845,511
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	117,225	186,683	307,296	3,248,636	342,059	4,201,899
DEPRECIATION						
At 1 January 2006	8,379	37,177	128,965	422,386	-	596,907
Charge for the year	-	4,738	23,178	81,203	-	109,119
Eliminated on disposal	-	-	-	(4,666)	-	(4,666)
Translation loss	-	(25)	107	(5,543)	-	(5,461)
At 1 January 2007	8,379	41,890	152,250	493,380	-	695,899
Charge for the year	-	4,667	24,924	176,134	-	205,725
Translation loss	-	172	(2,987)	(396)	-	(3,211)
31 December 2007	8,379	46,729	174,187	669,118	-	898,413
NET BOOK VALUE						
At 31 December 2007	108,846	139,954	133,109	2,579,518	342,059	3,303,486
At 31 December 2006	80,627	146,085	118,002	2,777,849	62,824	3,185,387
NET BOOK VALUE - COST BASIS						
At 31 December 2007	94,826	98,735	130,122	2,579,122	342,059	3,244,864
At 31 December 2006	66,607	104,694	118,002	2,777,849	62,824	3,129,976

Freehold land and buildings with a net book value of Sh457,452,000 (2006 - Sh 413,843,000) have been charged to secure banking facilities granted to the company as disclosed in note 19. Included above are assets with a total cost of Sh 100,510,000 (2006 - Sh 75,994,000) which were fully depreciated as at 31 December 2007. The normal depreciation charge would have been Sh 13,829,000 (2006 - Sh 7,059,000).

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

11 (b) Property, plant and equipment - Company

	Freehold land and buildings Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware, plant, machinery, motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
COST OR VALUATION						
At 1 January 2006	85,447	179,431	252,825	995,052	987,500	2,500,255
Additions	4,997	27	47,100	16,783	1,051,130	1,120,037
Transfers	-	-	-	2,016,952	(2,016,952)	-
Disposals	-	-	-	(4,011)	-	(4,011)
At 1 January 2007	90,444	179,458	299,925	3,024,776	21,678	3,616,281
Additions	26,780	-	-	17,100	254,421	298,301
Transfers	-	-	-	9,222	(17,681)	(8,459)
At 31 December 2007	117,224	179,458	299,925	3,051,098	258,418	3,906,123
Comprising						
At cost	66,291	22,066	281,917	2,921,043	258,418	3,549,735
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	117,224	179,458	299,925	3,051,098	258,418	3,906,123
DEPRECIATION						
At 1 January 2006	8,379	37,003	124,539	387,385	-	557,306
Charge for the year	-	4,546	22,501	64,153	-	91,200
Eliminated on disposal	-	-	-	(4,011)	-	(4,011)
At 1 January 2007	8,379	41,549	147,040	447,527	-	644,495
Charge for the year	-	4,486	24,286	159,040	-	187,812
31 December 2007	8,379	46,035	171,326	606,567	-	832,307
NET BOOK VALUE						
At 31 December 2007	108,845	133,423	128,599	2,444,531	258,418	3,073,816
At 31 December 2006	82,065	137,909	152,885	2,577,249	21,678	2,971,786
NET BOOK VALUE COST BASIS						
At 31 December 2007	89,024	97,833	128,599	2,444,531	258,418	3,018,405
At 31 December 2006	62,244	102,319	152,885	2,577,249	21,678	2,916,375

Freehold land and buildings with a net book value of Sh 242,268,000 (2006 - Sh 219,974,000) have been charged to secure banking facilities granted to the company as disclosed in note 19. Included above are assets with a total cost of Sh 100,510,000 (2006 - Sh 75,994,000) which were fully depreciated as at 31 December 2007. The normal depreciation charge would have been Sh 13,829,000 (2006 - Sh 7,059,000).

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

12 Operating lease prepayments

	Group Sh'000	Company Sh'000
COST		
At 1 January 2006	13,244	2,707
Exchange adjustment	(237)	-
At 1 January 2007	13,007	2,707
Exchange adjustment	(127)	-
At 31 December 2007	12,880	2,707
AMORTISATION		
At 1 January 2006	602	426
Charge for the year	278	68
At 1 January 2007	880	494
Charge for the year	276	67
Exchange adjustment	63	-
At 31 December 2007	1,219	561
NET BOOK VALUE		
At 31 December 2007	11,661	2,146
At 31 December 2006	12,127	2,213

13 Intangible assets

COST		
Additions and at 31 December 2007	8,459	8,459
AMORTISATION		
Charge for the year and at 31 December 2007	1,910	1,910
NET BOOK VALUE		
At 31 December 2007	6,549	6,549

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

14 Investment in subsidiaries

ARM (Tanzania) Limited (2,160 shares of Tsh 100,000 each)
(2006- 2010 shares)
ARMSA (Pty) Limited (100 A type shares of R1 each)
Mavuno Fertilizer Limited (100 shares of Sh 1,000 each)

2007 Sh'000	2006 Sh'000
152,217	102,939
33,014	33,014
7,259	7,259
<u>192,490</u>	<u>143,212</u>
102,939	102,939
5,712	-
43,470	-
<u>152,217</u>	<u>102,939</u>

The analysis of the increase in the investment in ARM Tanzania Limited is as follows:

At 1 January
Purchase of 5% equity from minority
Subscriptions for rights issue (pending allotment)

The details of the above subsidiary companies are as follows:

Company	Percentage holding	Country of incorporation and domicile	Principal activity
ARM (Tanzania) Limited	72% (2006 - 67%)	Tanzania	Extraction and processing of limestone
ARMSA (Pty) Limited	100%	South Africa	Manufacture of silicate liquid
Mavuno Fertilizer Limited	100%	Kenya	Not operational

ARM Zambia Limited and ARM Botswana Limited, wholly owned subsidiaries, were not consolidated into the group as they were not operational in the year.

15 Inventories

Raw materials
Work in progress
Finished goods
Stores, spares and laboratory inventories
Goods in transit

GROUP		COMPANY	
2007 Sh'000	2006 Sh'000	2007 Sh'000	2006 Sh'000
229,254	164,418	201,106	150,492
20,072	48,360	3,037	38,417
79,712	44,770	75,316	40,664
153,715	35,560	147,488	32,739
74,418	16,499	-	16,499
<u>557,171</u>	<u>309,607</u>	<u>426,947</u>	<u>278,811</u>
322,819	446,074	224,323	348,987
86,759	189,280	66,984	172,997
903	326	-	-
<u>410,479</u>	<u>635,680</u>	<u>291,307</u>	<u>521,984</u>

16 Trade and other receivables

Trade receivables
Other receivables and prepayments
Due from related parties

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

17 Employee share option plan (ESOP)

Athi River Mining Limited has adopted IFRS 2 (on share based payments) for the first time in the year ended 31 December 2007 the effects of which have been reflected in the statement of changes in equity.

As at 31 December 2007, the group had the following share based compensation plan:

The company has an ownership-based compensation scheme for employees of the group. In accordance with the provisions of the plan, as approved by shareholders at the annual general meeting held on 17 June 2005, employees who are in permanent employment with the group for a minimum period of three years may be granted options to purchase ordinary shares.

Each employee share option converts into one ordinary share of Athi River Mining Limited on exercise. Options may be exercised at any time from the date of vesting to the date of their expiry.

On 30 November 2007, 6,055,000 ordinary shares of Sh 5 each were issued to the ESOP at Sh 15 each (market price at the time of approval by the board and Annual General Meeting in 2005) amounting to Sh 90,825,000. The shares issued to the ESOP carry pari passu rights to dividends and voting rights. Dividend relating to unexercised shares accrues to the ESOP.

None of the shares had been vested as at 31 December 2007.

The following reconciles the outstanding share options granted under the employee share option plan at the beginning and end of the financial year:

	Number of options	2007 Weighted average exercise price Sh'000
Granted during the year	6,055,000 =====	90,825 =====
Exercisable and not vested at the end of the year	6,055,000 =====	90,825 =====

The share options outstanding at the end of the financial year had an exercise price of Sh 90,825,000 (2006: Nil). The amount represents money loaned to the trustees by the group.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

18 Share capital - Group and Company

	Share Capital		Share Premium	
	2007 Sh' 000	2006 Sh' 000	2007 Sh' 000	2006 Sh' 000
Authorised:				
135,000,000 ordinary Shares of Sh 5 each (2006 - 110,000,000)	675,000	550,000	302,027	241,477
Issued and fully paid:				
99,055,000 fully paid ordinary shares of Sh 5 each	495,275	465,000	302,027	241,477

At an annual general meeting held on 12 June 2007, it was resolved that the authorised share capital of the company be increased from Sh 550,000,000 divided into 110,000,000 shares of Sh 5 each to Sh 675,000,000 divided into 135,000,000 shares of Sh 5 each by creation of an additional 25,000,000 shares of Sh 5 each.

At a Board of Directors meeting held on 27 March 2007, it was resolved that Sh 90,825,000 divided into 6,055,000 shares at a price of Sh 15 each be issued under the Employee Share Option Plan (ESOP). This resulted in an ordinary share issue of 6,055,000 shares of Sh 5 each.

On 30 November 2007, the 6,055,000 shares were issued to the ESOP.

Share options granted under the employee share option plan

At 31 December 2007, employees held 6,055,000 ordinary share options which were not vested.

Further details of the employee share option plan are contained in note 17 to the financial statements.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

19 (a) Borrowings - Group

Bank overdrafts	115,820	258,540
Bank loans	775,438	850,773
Corporate bond	812,736	811,028

	<u>1,703,994</u>	<u>1,920,341</u>
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The borrowings are repayable as follows:

On demand or within one year	598,654	510,827
In the second year	414,373	1,798
After 2 years but within 5 years	584,567	1,267,670
After 5 years	106,400	140,046

	<u>1,703,994</u>	<u>1,920,341</u>
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Less: amount due for settlement within one year	<u>598,654</u>	<u>510,827</u>
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Amount due for settlement after one year	<u>1,105,340</u>	<u>1,409,514</u>
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Analysis of borrowings by currency

	Borrowings in US\$	Kshs equivalent Sh' 000	Borrowings in local currency Sh' 000	Total Borrowings Sh' 000
2007				
Bank overdrafts	112,797	7,151	108,669	115,820
Bank loans	7,458,425	472,864	302,574	775,438
Corporate bond	-	-	812,736	812,736
	<u>7,571,222</u>	<u>480,015</u>	<u>1,223,979</u>	<u>1,703,994</u>
At 31 December 2007				
2006				
Bank overdrafts	408	29	258,511	258,540
Bank loans	7,775,300	545,773	305,000	850,773
Corporate bond	-	-	811,028	811,028
	<u>7,775,708</u>	<u>545,802</u>	<u>1,374,539</u>	<u>1,920,341</u>
At 31 December 2006				

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

19 (a) Borrowings - Group (Continued)

The average interest rates were as follows:

	2007 %	2006 %
Bank overdrafts	12.00	13.75
Bank loans (Sh)	11.09	11.09
Bank loans (US \$)	9.44	9.44
Corporate bond	10.00	10.00

Details of securities

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by first ranking debenture over all the company's assets for Sh 225,000,000 and a first legal charge for Sh 225,000,000 over the company's freehold and leasehold properties ranking pari passu to the legal charges of Barclays Bank of Kenya Limited and Bank of Africa Kenya Limited.

The overdraft facility and letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120,000,000 over all the assets of the company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264,000,000 over all the assets of the group.

The long term loan of US \$ 1,000,000 is secured by a first ranking legal mortgage on the ARM (Tanzania) Limited assets located on plot No. 1 Industrial Area Maweni Tanga Municipality and a first ranking floating debenture on the company's assets present and future.

The loan from East African Development Bank Limited is secured by a bank guarantee from Bank of Africa Kenya Limited.

The corporate bond is unsecured and matures in 2010.

(b) Borrowings - Company

	2007 Sh'000	2006 Sh'000
Bank overdrafts	115,820	242,050
Bank loans	679,594	724,240
Corporate bond	812,736	811,028
	1,608,150	1,777,318

The borrowings are repayable as follows:

On demand or within one year	583,195	479,876
In the second year	389,639	1,798
After 2 years and within 5 years	528,916	1,155,598
After 5 years	106,400	140,046
	1,608,150	1,777,318
Less: amount due for settlement within one year	583,195	479,876
Amount due for settlement after one year	1,024,955	1,297,442

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

19 (b) Borrowings - Company (Continued)

Analysis of Borrowings by currency

	Borrowings in US\$	Kshs equivalent Sh' 000	Borrowings in local currency Sh' 000	Total Borrowings Sh' 000
2007				
Bank overdrafts	112,797	7,151	108,669	115,820
Bank loans	5,908,425	374,594	305,000	679,594
Corporate bond	-	-	812,736	812,736
At 31 December 2007	6,021,222	381,745	1,226,405	1,608,150
2006				
Bank overdrafts	408	29	242,021	242,050
Bank loans	6,025,300	419,240	305,000	724,240
Corporate bond	-	-	811,028	811,028
At 31 December 2006	6,025,708	419,269	1,358,049	1,777,318

The average interest rates were as follows:

	2007 %	2006 %
Bank overdrafts	12.00	13.75
Bank loans (Sh)	11.09	11.09
Bank loans (US\$)	9.44	9.44
Corporate bond	10.00	10.00

Details of securities

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by a first ranking debenture over all the company's assets for Sh 225,000,000 and a first legal charge for Sh 225,000,000 over the company's freehold and leasehold properties ranking paripassu to the legal charges of Barclays Bank of Kenya Limited and Bank of Africa Kenya Limited.

The overdraft facility, commercial paper and letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120,000,000 over all the assets of the company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264,000,000 over all the assets of the group.

The loan from East African Development Bank Limited is secured by a bank guarantee from Bank of Africa Kenya Limited.

The corporate bond is unsecured and matures in 2010.

The company had outstanding letters of credit amounting to Sh 67,513,000.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

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Deferred income tax

Deferred income tax is calculated on all temporary differences under the liability method using the currently enacted tax rate of 30%.

	GROUP		COMPANY	
	2007 Sh'000	2006 Sh'000	2007 Sh'000	2006 Sh'000
The net deferred taxation liability is attributable to the following items:				
Liabilities:				
Accelerated capital allowances	787,405	816,749	742,520	779,690
Revaluation surplus	15,881	16,623	15,881	16,623
	<u>803,286</u>	<u>833,372</u>	<u>758,401</u>	<u>796,313</u>
Assets:				
Leave pay provision	(1,325)	(968)	(1,241)	(968)
Unrealised gains	11,868	(3,953)	8,205	(1,759)
Tax losses available for future offset	(280,483)	(492,207)	(263,442)	(478,083)
	<u>(269,940)</u>	<u>(497,128)</u>	<u>(256,478)</u>	<u>(480,810)</u>
Net deferred tax liability	<u>533,346</u>	<u>336,244</u>	<u>501,923</u>	<u>315,503</u>
The movement on the deferred tax account is as follows:				
At 1 January	336,244	201,963	315,503	199,598
Income statement charge - note 7(a)				
- current year	198,981	128,128	186,420	115,433
- prior year	-	472	-	472
Exchange adjustment	(1,879)	5,681	-	-
	<u>533,346</u>	<u>336,244</u>	<u>501,923</u>	<u>315,503</u>
At 31 December	<u>533,346</u>	<u>336,244</u>	<u>501,923</u>	<u>315,503</u>

Tax losses available for future offset are as a result of the group's heavy investment in plant and machinery which attract high investment deductions resulting in adjusted tax losses.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

21 (a) Finance leases - Group

	Minimum lease payments		Present value of minimum payments	
	2007 Sh'000	2006 Sh'000	2007 Sh'000	2006 Sh'000
Amounts payable under finance leases				
Within one year	24,067	31,481	20,367	24,822
In the second to fifth years inclusive	30,594	58,673	27,659	52,380
	<u>54,661</u>	<u>90,154</u>	<u>48,026</u>	<u>77,202</u>
Less: Future finance charges	(6,635)	(12,952)	-	-
	<u>48,026</u>	<u>77,202</u>	<u>48,026</u>	<u>77,202</u>
Less: Amount due for settlement within 12 months			(20,367)	(24,822)
			<u>27,659</u>	<u>52,380</u>

(b) Finance leases - Company

Amounts payable under finance leases				
Within one year	23,450	31,089	19,750	24,430
In the second to fifth years inclusive	28,994	58,075	26,059	51,782
	<u>52,444</u>	<u>89,164</u>	<u>45,809</u>	<u>76,212</u>
Less: Future finance charges	(6,635)	(12,952)	-	-
	<u>45,809</u>	<u>76,212</u>	<u>45,809</u>	<u>76,212</u>
Less: Amount due for settlement within 12 months			(19,750)	(24,430)
			<u>26,059</u>	<u>51,782</u>

(c) Analysis by cash flows

At 1 January	77,202	29,825	76,212	29,825
New financing received	2,368	65,264	-	58,778
Repayments	(31,440)	(17,887)	(30,403)	(12,391)
Exchange translation	(104)	-	-	-
	<u>48,026</u>	<u>77,202</u>	<u>45,809</u>	<u>76,212</u>
At 31 December				

It is the group's policy to lease some of its motor vehicles under finance leases. The average lease term is 4 years. The weighted average rate of interest on the obligation under hire purchase agreements as at 31 December 2007 was 9% (2006: 9.7%). Interest rates are fixed at the contract date. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The carrying value of the company's lease obligations approximates their fair values.

The company's obligations under the finance leases are secured by the lessor's charges over the leased assets.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

22 Trade and other payables

	GROUP		COMPANY	
	2007 Sh'000	2006 Sh'000	2007 Sh'000	2006 Sh'000
Trade payables	306,831	311,673	243,081	301,899
Other payables and accruals	129,779	174,635	125,783	159,813
Leave pay provision	4,139	3,225	4,139	3,225
Due to related parties	-	48,007	-	48,007
	<u>440,749</u>	<u>537,540</u>	<u>373,003</u>	<u>512,944</u>

23 Notes to the cash flow statement

(a) Cash flow from operating activities

	2007 Sh'000	2006 Sh'000
Operating profit	764,987	417,136
Adjustments:		
Depreciation	205,725	109,119
Amortisation of operating lease prepayments	276	278
Amortisation of intangible assets	1,910	-
Effects of exchange rate changes	(3,807)	(40,985)
	<u>969,091</u>	<u>485,548</u>
Operating profit before working capital changes	969,091	485,548
Increase in inventories	(247,564)	(28,341)
Decrease/(increase) in trade and other receivables	225,201	(162,096)
(Decrease)/increase in trade and other payables	(96,791)	148,771
Increase in amounts due from ESOP Trust	90,825	-
Increase in unclaimed dividends	1,289	1,504
(Decrease)/increase in amounts due to related parties	(3,220)	5,336
	<u>938,831</u>	<u>450,722</u>
Cash generated from operations	938,831	450,722

(b) Analysis of additions to property, plant and equipment

Additions in the year [note 11(a)]	344,767	1,143,896
Less:		
Acquisitions through finance leases (note 21)	(2,368)	(65,264)
Interest capitalised	-	(162,782)
	<u>342,399</u>	<u>915,850</u>
Acquisition by cash	342,399	915,850

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

23 Notes to the cash flow statement (continued)

(c) Analysis of cash flow by loans and corporate bond

	2007 Sh'000	2006 Sh'000
At 1 January	1,661,801	1,318,280
Repayment	(58,168)	(40,668)
Received	-	403,289
Accrued interest on corporate bond	12,736	11,028
Exchange adjustment	(31,505)	(30,128)

<u>1,584,174</u>	<u>1,661,801</u>
=====	=====

(d) Analysis of cash and cash equivalents

	2007 Sh'000	2006 Sh'000
Cash and bank balances	124,356	111,377
Bank overdrafts	(115,820)	(258,540)

<u>8,536</u>	<u>(147,163)</u>
=====	=====

24 Related party transactions and balances

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

(a) Transactions

During the year the company entered into the following transactions with related parties:

	2007 Sh'000	2006 Sh'000
Purchases	-	213,535

The purchases relate to raw material purchases from Bamburi Cement Limited. Bamburi Cement Limited is both a shareholder and a director of the company.

	2007 Sh'000	2006 Sh'000
Sales		
ARM (Tanzania) Limited	42,377	22,407
ARMSA (Pty) Limited	235,987	97,814
	<u>278,364</u>	<u>120,221</u>

The outstanding balances arising from sale and purchase of goods and services are as follows:

(b) Due from related parties - company

	2007 Sh'000	2006 Sh'000
ARMSA (Pty) Limited	150,773	83,018
Mavuno Fertilizer Limited	95	95
	<u>150,868</u>	<u>83,113</u>

(c) Due from related parties - group

	2007 Sh'000	2006 Sh'000
Cement Distributors Limited	903	326

The outstanding balances of Cement Distributors Limited are included in trade receivables in the group.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

24 Related party transactions and balances (continued)

	2007 Sh'000	2006 Sh'000
(d) Due to related parties - group		
Due to directors	3,232	6,452
Bamburi Cement Limited	-	48,007

The outstanding balances at year end due to Bamburi Cement Limited and Cement Distributors Limited are included under trade and other payables in the group (note 22)

(e) Due to related parties - company

	2007 Sh'000	2006 Sh'000
ARM (Tanzania) Limited	-	33,386
Due to directors	342	5,053
	342	38,439
Bamburi Cement Limited	-	48,007

The outstanding balance at year end due to Bamburi Cement Limited is included under trade and other payables in both the group and the company (note 22).

(f) Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2007 Sh'000	2006 Sh'000
Salaries and other benefits	99,232	91,249
(g) Directors' remuneration		
Fees for services as directors	3,312	2,390
Other emoluments (included in key management compensation above)	53,924	50,809
	57,236	53,199

25 Capital commitments

Authorised and contracted for	177,400	62,824
Authorised but not contracted for	1,677,991	300,000

26 Contingent liabilities

Guarantees	23,412	23,412
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Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

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27

Financial risk management objectives

The group's activities expose it to a variety of financial risks including credit and liquidity risks, effects of changes in foreign currency and interest rates risk. The group's overall risk management programme focuses on unpredictability of changes in the business environment and seeks to minimise the potential adverse effect of such risks on its performance by setting acceptable levels of risk.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The group has policies in place to ensure that sales are made to customers with an appropriate credit history. There has been no change to the Group's exposure to market risks or the manner in which it manages and measures the risk.

Market risk

(i) Foreign exchange risk

The group is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities. Monetary assets and liabilities held in foreign currencies are closely monitored to ensure that they are not materially affected by adverse foreign currency fluctuations.

The company hedges its foreign exchange risk on foreign currency denominated sales with foreign currency borrowings.

At 31 December 2007, if the Shilling had weakened/strengthened by 5% against the US dollar with all other variables held constant, the impact on pre tax profit for the year would have been Sh 1,330,000 (2006: Sh 432,000) higher/lower, mainly as a result of US dollar payables and bank balances.

(ii) Interest rate risk

The group is exposed to interest rate risk as it borrows funds both at fixed and floating interest rates. The risk is managed by the group by a close management monitoring control. As at 31st December 2007, an increase/decrease of 5 percentage points on average borrowing rates would have resulted in an increase/decrease in pretax profit of Sh 9,638,000.

(iii) Price risk

The group does not hold investments that would be subject to price risk; hence this risk is not relevant

Credit risk

Credit risk refers to the risk that counter party will default on its contractual obligations resulting in financial loss to the group. The group has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. The group's exposure and the credit rating of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the management annually.

Trade receivables consist of a large number of customers, spread across diverse geographical areas. On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

The group does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The group defines counterparties as having similar

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

characteristics if they are related entities. Concentration of credit risk did not exceed 5% of gross monetary assets at any time during the year.

	Fully performing Shs'000	Past due Shs'000	Impaired Shs'000
Trade and other receivables	213,294	197,185	21,364
Cash and bank balances	124,356	-	-

The amount that best represents the group's maximum exposure to credit risk as at 31 December 2006 is made up as follows:

	Fully performing Shs'000	Past due Shs'000	Impaired Shs'000
Trade and other receivables	502,846	132,834	16,239
Cash and bank balances	111,377	-	-

The customers under the fully performing category are paying their debts as they continue trading. The default rate is low.

The debt that is impaired has been fully provided for. However, the finance department are following up on the impaired debt.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the board of directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the group's short, medium and long-term funding and liquidity management requirements. The group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the group's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

Notes to the Financial Statements (continued)

For The Year Ended 31 December 2007

27 Financial risk management objectives (continued)

Liquidity risk (continued)

	Less than 1 month Sh'000	Between 1 – 3 months Sh'000	Over 3 months Sh'000	Over 12 months Sh'000	Total Sh'000
Borrowings	-	32,548	257,648	1,413,798	1,703,994
Finance leases	1,629	4,887	13,851	27,659	48,026
Trade and other payables	-	440,749	-	-	440,749
Unclaimed dividends	-	3,346	-	-	3,346
	<u>1,629</u>	<u>481,530</u>	<u>271,499</u>	<u>1,441,457</u>	<u>2,196,115</u>

At 31 December 2006

Borrowings	-	-	-	1,920,341	1,920,341
Finance leases	1,857	5,337	17,628	52,380	77,202
Trade and other payables	-	537,540	-	-	537,540
Unclaimed dividends	-	2,057	-	-	2,057
	<u>1,857</u>	<u>544,934</u>	<u>17,628</u>	<u>1,972,721</u>	<u>2,537,140</u>

28 Events after the balance sheet date

On 24 January 2008, Athi River Mining Kenya Limited acquired all the shares held by the minority shareholders of ARM Tanzania Limited making it a wholly owned subsidiary.

29 Incorporation

The company is domiciled and incorporated in Kenya under the Companies Act.

30 Currency

The financial statements are presented in Kenya Shillings thousands (Sh'000).